

SOUTH SUDAN

Key conditions and challenges

Table 1 2020

Population, million	11.2
GDP, current US\$ billion	4.9
GDP per capita, current US\$	437.5
International poverty rate (\$ 19) ^a	76.4
Lower middle-income poverty rate (\$ 3.2) ^a	91.6
Upper middle-income poverty rate (\$ 5.5) ^a	97.8
Gini index ^a	44.2
School enrollment, primary (% gross) ^b	73.0
Life expectancy at birth, years ^b	57.8
Total GHG Emissions (mtCO ₂ e)	79.2

Source: WDI, Macro Poverty Outlook, and official data.

(a) Most recent value (2016), 2011 PPPs.

(b) WDI for School enrollment (2015); Life expectancy (2019).

South Sudan's economy is estimated to have contracted by 5.4 percent in FY2020/21 as the pandemic affected key sectors, notably oil and services. Living conditions deteriorated and continue to be affected by displacement and inadequate access to basic services. Poverty is estimated to have reached 79 percent in FY2020/21, up from 77 percent in FY2019/20. While a mild growth recovery is expected in FY2021/22, medium term growth prospects will depend on sustainability of peace, commitment to reforms, and economic diversification.

Despite vast oil wealth and considerable access to development assistance both before and after independence, South Sudan emerged in 2011 as one of the poorest countries in the world. At the same time, recurring cycles of conflict and violence have placed large constraints on both institutional and human capital development, sustaining large capability deficits. Consequently, South Sudan has struggled to leverage its vast natural resource wealth to develop a modern economy.

A decade after independence, South Sudan remains caught in a web of fragility, economic stagnation, and instability. Economic mismanagement and monetization of the fiscal deficit led to soaring inflation and widening exchange rate premium, with output contracting for consecutive years during 2015 – 2018. Consequently, real household disposable income declined, and the poverty rate increased from 44.7 percent in 2009 to about 76 percent in 2016. Extremely high poverty levels have been sustained in subsequent years by conflict, displacement, and shocks. The conflict has caused severe damages to productive assets, resulted in a major economic crisis, while sustaining large humanitarian needs. It is estimated that about 1.6 million people remain internally displaced and 2.2 million South Sudanese refugees are still residing in neighboring countries. Food insecurity

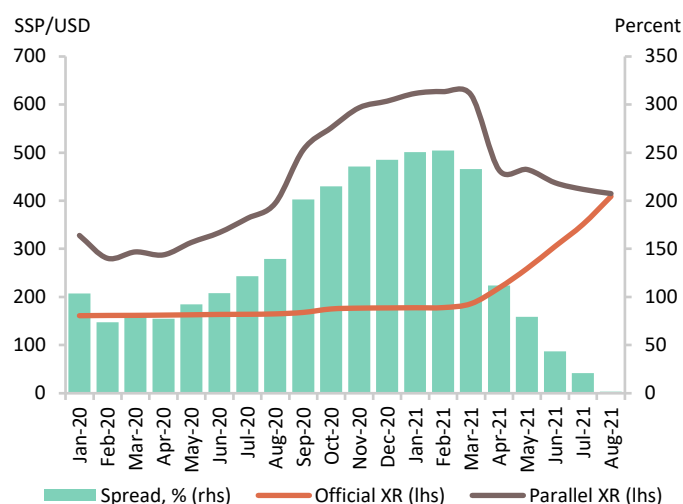
deteriorated consistently from late 2012 onward, with the number of South Sudanese facing severe food insecurity estimated at 7.2 million people (60 percent of total population) in FY2020/21.

As the COVID-19 pandemic has disrupted a fragile economic recovery, diversifying sources of growth and revenue will be critical as the current oil led growth model has reached its limits. In the past, the oil sector provided the wherewithal for large government consumption outlays, but current production levels, estimated at about 160,000 bpd in FY2020/21, are expected to remain just about one half of pre-crisis levels. Nevertheless, strengthening service delivery institutions, governance, economic, and public financial management systems will prove critical as the country seeks to build resilience to future shocks, providing building blocks for an inclusive and sustainable growth path.

Recent developments

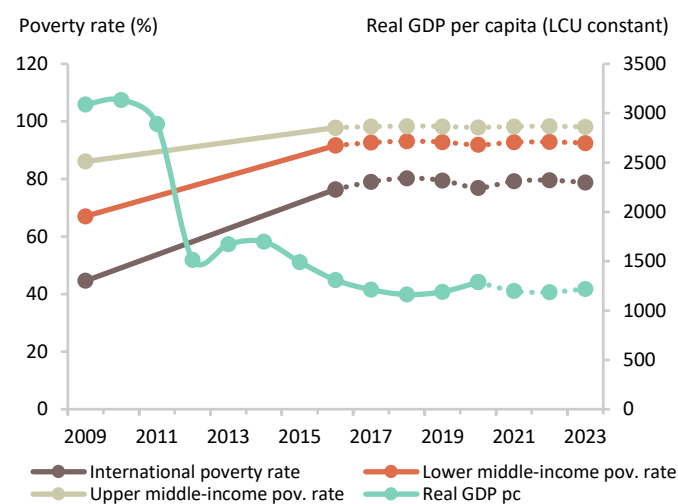
The economy is estimated to have contracted by 5.4 percent in FY2020/21, with growth negatively impacted by the COVID-19 pandemic, floods, and conflict in parts of the country. Oil production declined by 5.9 percent, as floods affected production and the COVID-19 pandemic delayed new investments to replace exhausted wells. Food insecurity remained dire, with nearly three out of four households experiencing food price increases and nine out of 10 rural households worried about having enough to

FIGURE 1 South Sudan / Exchange rate developments



Source: World Bank.

FIGURE 2 South Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

eat in October 2020. The poverty rate increased by about 2 percentage points in FY2020/21, to an estimated 79 percent. Inflation continued to decline in FY2020/21, reflecting the authorities' implementation of basic macroeconomic and fiscal management reforms. According to official CPI data, the 12-month inflation rate fell to 18 percent in June 2021, from a peak of nearly 70 percent in January 2021. At the same time, exchange rate policy is on course to achieve unification, and this has contributed to declining inflation. The gap between the market and official exchange rates declined from 250 percent in January 2021 to about 1 percent in August 2021.

The FY2020/21 budget deficit is estimated to have narrowed to about 6.9 percent of GDP from 9.8 percent in FY2019/20, reflecting higher than projected oil and non-oil revenue and fiscal consolidation efforts. The budget revenue impact of lower oil production was offset by higher prices, with oil revenue increasing to 26.7 percent of GDP in FY2020/21 from 25.5 percent in FY2019/20. At the same time, non-oil revenue increased to about 5 percent of GDP from 4.0 percent, reflecting the authorities' efforts to expand the tax base. On the expenditure side, the fiscal position benefited from a large adjustment

of operating expenditure which declined to 6.6 percent of GDP in FY2020/21 from 10.5 percent in FY2019/20. The current account deficit is estimated to have narrowed to 5.5 percent in FY2020/21 from 20.3 percent in FY2019/20, reflecting higher oil export values and weaker import demand.

Outlook

South Sudan's economy could grow by 1.0 percent in FY2021/22, with challenges in the oil sector constraining a faster recovery. Over the medium-term, growth may average around 4.5 percent with developments in the non-oil sectors, along recovering consumption, being the main contributing factors. However, a stronger broad-based recovery is needed to achieve poverty reduction gains. At these growth rates, per capita GDP will not revert to FY2019/20 levels until FY2024/25 and poverty is expected to remain stagnant at 79 percent in the coming years. The ongoing PFM reforms, if successful, could create opportunities for the achievement of faster and more inclusive growth going forward. Inflation is expected to decline gradually and will benefit from improved fiscal and

monetary discipline, exchange rate market liberalization, and deepening PFM reforms. While the new FY2021/22 budget envisions a fiscal deficit of about 1.9 percent of GDP, the fiscal outlook could improve further, reflecting higher oil prices and a fiscal adjustment that has led to lower current spending. Expenditures are expected to remain contained, despite a one-off doubling of salaries contained in the FY2021/22 budget. South Sudan remains at high risk of debt distress with total public debt estimated at 54.9 percent of GDP in FY2020/21, of which 44.8 percent is external debt. However, the country's debt sustainability could benefit from utilization of part of the SDR allocation to pay non-concessional debt.

The major downside risk to the outlook relate to the sustainability of peace and security, especially as subnational conflict continues in parts of the country. A large decline in oil prices would also adversely affect the macroeconomic outlook, posing a significant risk to growth as well as fiscal and external sustainability. Additional risks relate to the future path of the pandemic, particularly as additional waves and mutations of the virus provide added uncertainty.

TABLE 2 South Sudan / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2018	2019	2020	2021 e	2022 f	2023 f
Real GDP growth, at constant market prices	-3.5	3.2	9.5	-5.4	1.0	5.2
Real GDP growth, at constant factor prices	-3.5	3.2	9.5	-5.4	1.0	5.2
Agriculture	-2.5	9.9	6.0	3.5	3.7	3.9
Industry	15.0	20.9	27.5	-6.1	-0.7	5.5
Services	-14.6	-12.1	-9.6	-6.5	3.1	5.0
Inflation (Consumer Price Index)	121.6	63.6	33.3	43.1	24.0	16.0
Current Account Balance (% of GDP)	-9.8	17.3	-20.3	-5.5	0.7	2.1
Net Foreign Direct Investment (% of GDP)	-0.5	-1.7	-0.4	0.9	0.9	0.8
Fiscal Balance (% of GDP)	-3.4	-1.0	-9.8	-6.9	-0.7	1.9
Debt (% of GDP)	46.1	32.7	40.7	54.9	52.6	48.0
Primary Balance (% of GDP)	-3.1	-0.5	-7.8	-4.5	1.3	3.4
International poverty rate (\$1.9 in 2011 PPP)^{a,b}	80.3	79.5	76.9	79.2	79.5	78.8
Lower middle-income poverty rate (\$3.2 in 2011 PPP)^{a,b}	93.1	92.8	91.8	92.7	92.9	92.5
Upper middle-income poverty rate (\$5.5 in 2011 PPP)^{a,b}	98.4	98.3	97.9	98.2	98.3	98.2
GHG emissions growth (mtCO₂e)	4.0	7.8	7.3	0.0	3.2	5.4
Energy related GHG emissions (% of total)	2.7	2.6	2.7	3.8	4.3	4.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

(a) Calculations based on 2016-HFS-W3. Actual data: 2016. Nowcast: 2017-2020. Forecast are from 2021 to 2023.

(b) Projection using neutral distribution (2016) with pass-through = 0.87 based on GDP per capita in constant LCU.